8. **Simplify the data**
   Over time streamlining the financial forecasting model can enhance its clarity and user-friendliness. For instance, you can use conditional formatting, PivotTables, and charts to display data in an intuitive way. This will make it easier for users to interpret the results and make informed decisions.

FINANCIAL MODELING AND FORECASTING TECHNIQUES

There are several financial modelling and forecasting techniques that can be applied in Excel. The following are some of the most common techniques:

- **Historical data analysis**
  Analysis of historical financial data is extremely useful in identifying trends and patterns that can help predict future performance. To do so, follow these steps:

  1. Gather historical financial data of the company or investment you wish to analyse.
  2. Enter the data into Excel in the form of a table. Each column should represent a specific financial metric and each row should represent a specific period.
  3. Use Excel's integrated tools to visualize trends and patterns, like line or bar charts.
  4. Use functions such as *AVERAGE, MAX*, and *MIN* to calculate key metrics such as revenue growth, profit margins, and inventory turnover. Additionally, trends can be identified with the functions *AVERAGE* and *FORECATS.ETS*.

- **Trend analysis**
  This technique allows you to identify trends in financial data and extrapolate them to predict future performance. To accomplish this, follow the procedures below:

  1. Collect historical financial data and determine the period for which you want to predict future performance.
  2. Enter the historical data into Excel in table format.
  3. Select the range of historical data and the range of future periods you want to predict.
  4. Use the TREND function by entering